COMPANY INFORMATION DOCUMENT

LEXTRIA RESEARCH

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*Details mentioned here are for illustration purpose only

TESTS FOR SELECTING A RELEVANT ENTITY

LEXTRIA RESEARCH

Aspect	OPC	Proprietorship	Partnership Firm	LLP	Private Limited Company
Definition	Single-owner corporate entity	Single-owner unincorporated business	Two or more persons in partnership	Corporate entity with limited liability partners	Corporate entity with shareholders and directors
Ownership	Single owner	Single owner	Minimum 2 partners	Minimum 2 partners	Minimum 2 shareholders (max 200)
Legal Status	Separate legal entity	Not a separate legal entity	Not a separate legal entity	Separate legal entity	Separate legal entity
Liability	Limited to the company's assets	Unlimited, personal liability	Unlimited, personal liability	Limited to contribution of partners	Limited to the extent of shareholding
Registration	Mandatory under Companies Act, 2013	No registration required	Can be registered under Partnership Act, 1932	Mandatory under LLP Act, 2008	Mandatory under Companies Act, 2013
Governing Act	Companies Act, 2013	Not applicable	Partnership Act, 1932	LLP Act, 2008	Companies Act, 2013
Number of people	1 member (and 1 nominee)	1 owner	Min 2 and Mx no upper limit	Min 2 designated partners and Max No upper limit	Min 2 directors and 2 shareholders and Max 15 directors and 200 shareholders
Taxation	Corporate tax rate	Individual tax rates	Individual tax rates	LLP tax rates (30% + surcharge)	Corporate tax rate
Annual Compliance	Annual return, financial statements, board meetings	No statutory compliance	Filing of ITR (if registered)	Filing of annual returns with MCA and ITR	Filing of annual returns, board meetings, audits
Audit Requirement	Mandatory if turnover > ₹2 crore or capital > ₹50 lakh	Not required unless turnover > ₹1 crore	Not required unless turnover > ₹1 crore	Mandatory if turnover > ₹40 lakh or capital > ₹25 lakh	Mandatory irrespective of turnover or capital

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Aspect	OPC	Proprietorship	Partnership Firm	LLP	Private Limited Company
Ownership Transferability	Limited (requires ROC filings)	Not applicable	Requires drafting of new agreements	Easy, through agreements	Easy, through share transfer
Foreign Investment	Not allowed	Not allowed	Not allowed	Allowed with FEMA compliance	Allowed with FEMA compliance
Ease of Formation	Relatively easy	Easiest	Easy	Moderate	Complex
Closure Process	Complex, involves ROC	Simple	Simple	Moderately complex, involves ROC	Complex, involves ROC
Filing with MCA	Required	Not required	Not required	Required	Required
Cost of Formation	Moderate	Low	Low	Moderate	High
Key Pros	- Separate legal entity - Limited liability - Single-owner control - Ease of funding	- Full control - Simple setup - No statutory compliance	- Ease of formation - Simple compliance - Flexibility	- Limited liability - Separate legal entity - Easy compliance - Tax benefits	- Separate legal entity - Limited liability - Ability to raise equity - Credibility
Key Cons	- Higher compliance cost - Limited to 1 owner	- Unlimited liability - Difficult to raise funding - No separate legal status	- Unlimited liability - Lack of credibility - Limited growth	- Moderate compliance - Cannot raise equity funding - Limited public trust	- High compliance - Higher setup costs - Stringent regulations

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Example/Scenario	**E-commerce Business:** A single person launches an online store under the corporate umbrella.	**Freelancing Business:** An individual graphic designer works under their name.	**Family Business:** Two siblings run a small retail store as partners.	**Tech Startup:** Two engineers develop a SaaS product and want limited liability.	**Venture-Backed Company:** A group of investors and founders launch a tech company and seek equity funding.

How to qualify as a Startup ?	Registered under DPIIT by filling a detailed form providing evidance for innovation and have a valid start-up certificate to gain benefits such as eligibility to grants, reduction in IP filing cost, and tax benefits
How to qualify as a MSME?	Registered under Udyog aadhar and have a valid Udyog aahar certificate to gain benefits such as eligibility to grants, reduction in IP filing cost, and tax benefits

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